

WTI-Brent Spread: Projection Report

April 2026 | Prepared for spread trade analysis on HIP-3 Hyperliquid | CL vs BRENT OIL

Current Situation

Current Spread: -0.67% (~\$2.35/bbl, Brent premium) — historically **very narrow**. Normal range is \$3–\$5.
Brent ~\$105.27 | WTI ~\$102.92

Why it's compressed now:

- **172M barrel SPR release** flooding US domestic supply → pushes WTI down
- Trump's "buy American oil" rhetoric + eased Iran sanctions (30-day OFAC waiver through April 19) → more global supply, less Brent premium
- Post-Hormuz crisis normalization — spread blew out to **\$12.50 (~-16%)** in mid-March, now mean-reverting

Supply & Demand Dynamics

Bullish for Wider Spread (Brent premium expands)

Factor	Impact
Strait of Hormuz contested	Brent carries war premium; WTI insulated as domestic
OPEC+ holding 3.24M bbl/day cuts	Supports Brent more than WTI
Permian pipelines at 99% util.	Caps US exports → WTI trapped domestically
US crude exports declined 2025	4.0M bbl/day (first drop since 2021)
Qatar Ras Laffan LNG damaged	Gas-to-oil substitution lifts Brent

Bullish for Narrow Spread (WTI catches up)

Factor	Impact
Trump energy policy	Expedited permits + export push → WTI strengthens
Cushing at critical lows (~520K bbl)	Potential WTI short squeeze
Iran sanctions eased (temp)	More seaborne supply → Brent premium compresses
SPR discharge fades by Q3	Temporary WTI suppression ending
Corpus Christi channel deepened	54ft (2025) → larger tanker loading

Projections

1 MONTH (MAY 2026) -2% ~\$4–5/bbl Iran waiver expiry + SPR peak flow	1 YEAR (APRIL 2027) -3% ~\$4–5/bbl (base) \$8–10 (bear) Post-war norm + permanent risk premium	5 YEARS (2031) -3 to -4% ~\$4–6/bbl Shale plateau + structural Gulf premium
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1 Month — May 2026: Spread widens to -1% to -3%

Current -0.67% is artificially compressed by SPR release and Iran waiver. Iran waiver expires April 19 — if not renewed, Brent jumps on tighter seaborne supply. SPR peak flow hits Cushing, temporarily depressing WTI further. Hormuz still unresolved — insurance costs for tankers keep Brent premium elevated. Goldman sees Brent \$85 avg, WTI \$79 → implied spread ~\$6.

1 Year — April 2027: Two scenarios diverge

Scenario A — Hormuz Reopens (60% prob.) • Spread normalizes to -2% to -3% (\$3–5)	Scenario B — Prolonged Instability (40% prob.) • Hormuz remains contested, periodic disruptions • Brent stays \$90–110 with risk premium
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- Goldman: Gulf risk "permanently repriced" → +\$2–3 structural Brent premium
- OPEC+ unwinds remaining cuts → 2.8M bbl/day surplus (JPMorgan)
- Brent \$64–80, WTI \$61–74
- US shale declining for first time (EIA: 13.5M → 13.4M bbl/day)

- WTI limited by export bottlenecks
- Spread widens to **-5% to -8%** (\$6–10)
- Similar to 2011–2014 dynamics

5 Years — 2031: Spread settles -3% to -4%

Compressing forces:

- EVs displace 5M+ bbl/day by 2030 (IEA) → both benchmarks fall
- Deepwater export terminals may finally get built (SPOT, Texas GulfLink)
- Peak demand narrative → less geopolitical premium

Widening forces:

- US shale peaked/plateauing → WTI structurally weaker
- Permanent Hormuz risk repricing → Brent \$3–5 war premium
- No new Permian-to-Gulf pipelines under development

Summary

Horizon	Spread %	Spread \$	vs Today (-0.67%)	Key Driver
1 month	-2%	~\$4–5	Widens	Iran waiver expiry + SPR peak
1 year (base)	-3%	~\$4–5	Widens	Post-war normalization + risk premium
1 year (bear)	-6%	~\$8–10	Widens significantly	Prolonged Hormuz disruption
5 year	-3 to -4%	~\$4–6	Widens modestly	Shale plateau + Gulf premium

HIP-3 Trading Implication

At **-0.67%** today, the spread is near the **tight end of the historical range**. Mean reversion to -3% is high probability.

Now: SHORT CL / LONG BRENT (bet on spread widening back to normal)

At -8% or wider: LONG CL / SHORT BRENT (bet on mean reversion)

Funding: Check which dex (cash vs xyz) pays higher funding — that's your carry while waiting for convergence.

Sources: EIA STEO March 2026, IEA Oil Market Report March 2026, Goldman Sachs commodities research, JPMorgan oil outlook, Kpler shipping data, OPEC+ press releases, Columbia CGEP.
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